



Navigating Uncertainty. Building Resilience

The Middle East Conflict

Practical Steps for Businesses in a Changing Geopolitical Landscape

Corporate Response:

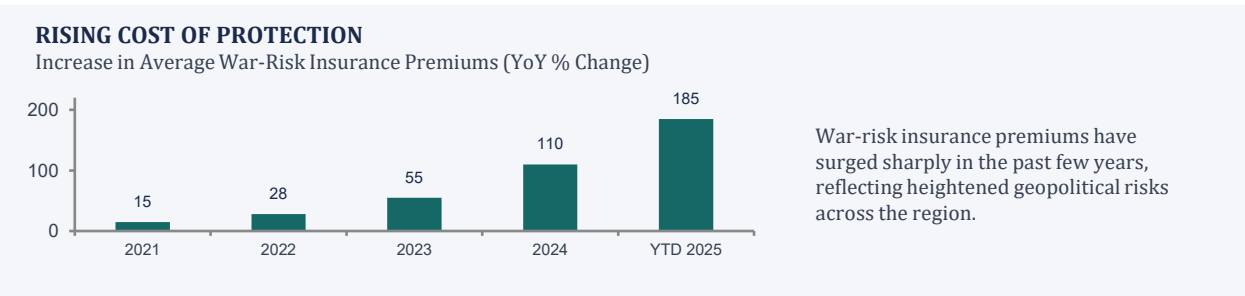
From Risk Management to Operational Resilience

Businesses are increasingly prioritizing contingency planning, contractual protection, and operational continuity.

As uncertainty continues across the region, companies are moving quickly to protect employees, preserve contractual rights, strengthen insurance coverage, and maintain supply chain continuity. Organizations operating across logistics, infrastructure, aviation, hospitality, and energy sectors are now reassessing how geopolitical disruptions could impact long-term business stability.

Sector	Key Impacts Observed	Impact Level
Shipping & Maritime	- Rerouting risks around the Strait of Hormuz and regional waters - Delayed shipments and higher freight rates - Rising war-risk insurance premiums and coverage restrictions	● ● ● ● ●
Construction & Infrastructure	- Project delays due to supply chain disruption and labor challenges - Shortage and price inflation in materials and critical equipment - Increased potential for contractual disputes and claims	● ● ● ●
Hospitality & Tourism	- Event cancellations and reduced travel demand - Lower hotel occupancy and revenue expectations - Operational disruption and increased cost pressures	● ●
Energy & Industrial Sectors	- Volatility in LNG, oil, and commodity prices - Concerns over supply continuity, especially gas and feedstock - Higher input costs impacting margins and project economics	● ● ● ● ●
Aviation	- Airspace restrictions and increased flight times - Insurance exposure challenges for airlines, lessors, and operators - Aircraft redeployments and schedule disruptions	● ●

IMPACT LEVEL: ● ● ● ● ● High ● ● ● ● Medium-High ● ● Medium



KEY CORPORATE PRIORITIES



Protecting Operations & Workforce

Businesses are reviewing travel policies, remote working structures, crisis communication, and site-access controls to maintain employee safety and operational continuity.



Reviewing Contracts & Commercial Exposure

Companies are reassessing force majeure clauses, supplier agreements, financing arrangements, and logistics contracts to preserve legal and commercial protections.



Insurance & Risk Assessment

War-risk, aviation, and political risk insurance policies are under increased scrutiny as businesses evaluate coverage limits, exclusions, and cancellation exposure.

CONTRACTS, NOTICES & INSURANCE – WHAT BUSINESSES SHOULD DO NOW



Contracts & Notices

- Compile a list of key commercial contracts that may be affected.
- Identify notice provisions that may have been triggered or require consideration (force majeure, extension of time, notices to lenders, insurers, counterparties).
- Late or defective notices can materially weaken your position.
- Maintain contemporaneous records of disruption, costs, and communications.



Insurance Review

- Review all relevant policies: marine, aviation, property, political risk, business interruption.
- Check territorial scope, exclusions, and cancellation provisions.
- Engage early with brokers and insurers.
- Understand documentation requirements and claims notification timelines.
- Evaluate potential coverage gaps.



The focus for companies is no longer just disruption management it is preserving flexibility, liquidity, and contractual protection in an increasingly volatile operating environment.



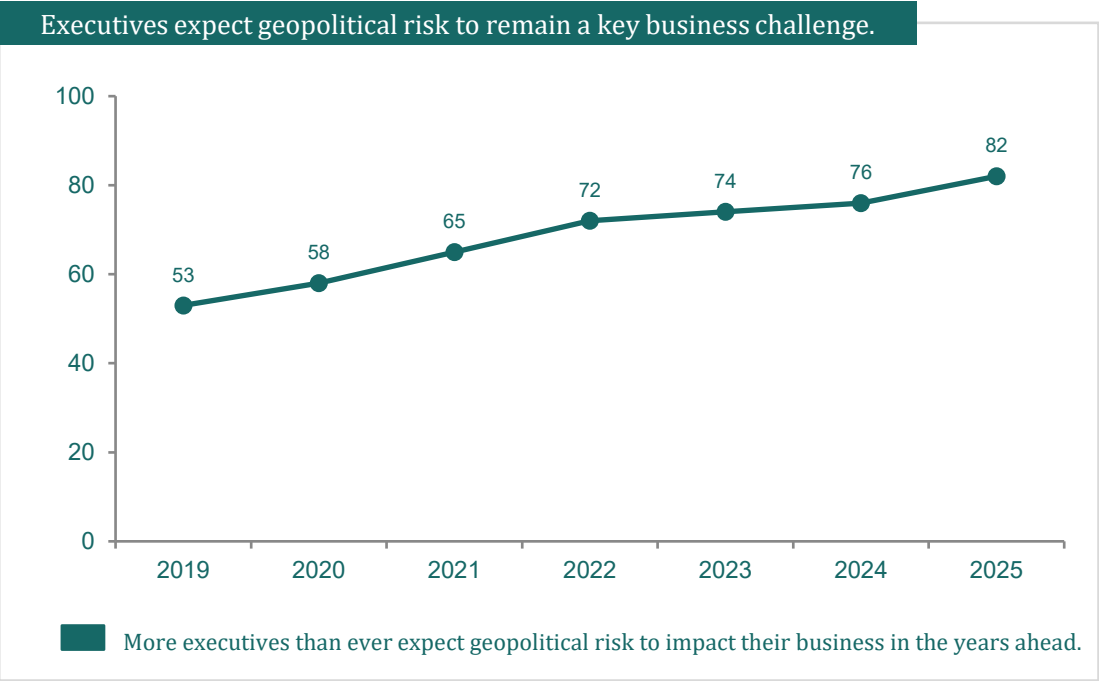
Businesses that respond early with structured contingency planning are likely to navigate the uncertainty more effectively than those reacting after disruptions escalate.

Beyond the Crisis:

A New Era of Geopolitical Risk Management

The conflict is accelerating how companies think about supply chains, energy dependence, and cross-border operational risk.

The current situation is reinforcing a broader shift already underway in global business where geopolitical events are becoming deeply interconnected with commercial strategy, investment planning, and operational resilience. Companies are increasingly expected to build flexible business models capable of adapting to prolonged geopolitical uncertainty.



EMERGING LONG-TERM THEMES



Supply Chain Diversification

Businesses are exploring alternative sourcing routes to reduce dependence on high-risk trade corridors.



Increased Focus on Contract Structuring

Force majeure, insurance protections, and contingency clauses are becoming central to commercial agreements.



Geopolitics a Boardroom Issue

Geopolitical risks are increasingly influencing investment, operations, and long-term business strategy.



Rise of Resilience-Based Strategy

Companies are balancing efficiency with operational stability, flexibility, and regional diversification.

KEY PRIORITIES FOR BUSINESSES GOING FORWARD

- 1

Strengthen Supply Chain Visibility
Map critical dependencies and build visibility across suppliers, logistics partners, and geographies.
- 2

Review Contractual Protections
Ensure force majeure, MAC clauses, and disruption provisions are robust and aligned with governing laws.
- 3

Monitor Insurance Exposure
Review coverage limits, exclusions, territorial scope, and notice requirements across all key policies.
- 4

Improve Crisis-Response Frameworks
Build agile, well-tested crisis plans with clear communication and decision-making protocols.
- 5

Diversify Operational Dependencies
Reduce reliance on single suppliers, geographies, and transport corridors where possible.
- 6

Build Real-Time Risk Monitoring Capabilities
Leverage data, scenario planning, and early warning systems to anticipate and respond faster.
- 7

Prepare for Prolonged Geopolitical Volatility
Plan for multiple disruption scenarios and build financial and operational flexibility for the long term.

THE BOTTOM LINE

Uncertainty will persist, but companies that plan ahead, strengthen their foundations, and stay adaptable will be best positioned to navigate what lies ahead.

The Middle East conflict highlights how deeply interconnected geopolitics and global business have become. For companies across sectors, resilience, adaptability, and proactive risk management may increasingly define long-term competitiveness in an uncertain global environment.



About Us.

We started YD Advisory because we saw a gap - founders, investors, and family offices making critical financial decisions with advice that was templated, slow, and handed off to people who'd never been in the room when a deal actually closed.

YD Advisory is a boutique transaction and strategic advisory firm built for those moments where the stakes are real and generic consulting isn't enough. We sit alongside founders and CEOs at the sharpest points in their business - capital raises, acquisitions, valuations, and financial restructuring - and we stay until the job is done.

Whether you need to raise capital, structure an acquisition, navigate a complex valuation, or simply have a sharp CFO in your corner, we bring institutional-grade thinking without the institutional overhead. No red tape. No one-size-fits-all playbook. Just senior-level expertise applied to your specific situation.

Our work spans cross-border transactions across Dubai, Singapore, and global markets - and we've built a curated network of trusted professionals across key hubs to match.

50+ mandates. \$100M+ in capital advised. 15+ sectors. 10+ geographies.

We don't just deliver numbers. We help you understand them, defend them, and move forward with confidence.